

PUBLIC VERSION-CONFIDENTIAL MATERIALS EXCLUDED

Before the

FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-01

20230930-DK-BUTTERFLY-1, INC. v. BAL CONTAINER LINE CO., LIMITED

**COMPLAINANT 20230930-DK-BUTTERFLY-1, INC.'S RESPONSES TO
RESPONDENT'S PROPOSED FINDINGS OF FACT**

TABLE OF CONTENTS

I.	INTRODUCTION	1
II.	BAL, ITS PERSONNEL, AND ITS D&D ADMINISTRATION	1
III.	BAL’S DISPUTE REVIEW PROCESS.....	4
IV.	LACK OF DIRECT RELATIONSHIP BETWEEN BAL AND BBY	6
V.	BBY’S OPERATIONS, VOLUME INCREASES, AND WAREHOUSE CONSTRAINTS 8	
VI.	BBY’S CHASSIS, SUPPLY-CHAIN, AND DISPUTE-HANDLING PRACTICES...	12
VII.	DETENTION AMOUNTS INITIALLY INVOICED AND ULTIMATELY COLLECTED	14
VIII.	BBY’S SPREADSHEET AND SUPPORTING PRESENTATION	15
IX.	BAL’S TARIFFS AND WEBSITE DISPUTE PROCEDURES	18
X.	BAL’S RATES, DEMURRAGE COLLECTIONS, AND COMPARISON TO BBY’S CLAIMS	21
XI.	PRIOR OOCL PROCEEDING	23
XII.	EXPERT AND BENCHMARK-RELATED FACTS	25
XIII.	ADDITIONAL CAUSATION-RELATED FACTS.....	28

I. INTRODUCTION

1. Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), alleges that BAL violated 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 with respect to detention and demurrage (“D&D”) charges assessed in 2021 and 2022. APP-14, 22 (BBBY’s Verified Complaint ¶¶ 1, 35).

RESPONSE: Admitted.

2. BBBY’s Verified Complaint also asserted a separate Count II for alleged violation of 46 U.S.C. § 41104(a)(10). APP-23 (BBBY’s Verified Complaint ¶¶ 37-38).

RESPONSE: Admitted.

3. BBBY’s Opening Brief does not develop Count II, and its legal framework, argument headings, and conclusion are limited to Count I under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5. RX 560, 565, 568, 585-586 (BBBY’s Opening Br. at i, 3, 6, 23-24).

RESPONSE: Admitted.

II. BAL, ITS PERSONNEL, AND ITS D&D ADMINISTRATION

4. During the relevant period, BAL was a licensed ocean common carrier that provided containerized cargo transportation services between Asia and the United States. APP-1251 (Vogt Dep. Tr. at 57:20-21); RX 1-8 (BAL Tariff).

RESPONSE: Admitted.

5. During the relevant period, BAL operated under published tariffs that set forth its D&D rules, free time, and rates. RX 1-8 (BAL Tariff).

RESPONSE: Admitted insofar as these tariffs were published, though BAL omits that its tariff per diem rates were disproportionately and unreasonably high, with rates 56 to 116 times BAL’s direct costs. See C58-67.

6. At BAL, Cathy Sun served as Director of Equipment Control and was responsible for tracking and managing containers and handling detention matters. APP-1197-1198 (Sun Dep. Tr. 21:11-25, 23:18-20).

RESPONSE: Admitted.

7. At BAL, Parker Zhu served as Assistant to the Senior Vice President and was responsible for accounts payable and collecting funds from customers, including demurrage. APP-1385-1387, 1395 (Zhu Dep. Tr. 38:24-40:4, 48:19-23).

RESPONSE: Admitted.

8. Cathy Sun, who is not a native English speaker but who testified through a translator, testified that the purpose of BAL’s detention charges was “to expedite the flow between

the goods and the container.” APP-1178 (Sun Corp. Dep. Tr. 9:14-17); APP-1194, 1196 (Sun Dep. Tr. 9:3-6, 14:14-16).

RESPONSE: Admitted that this proposed finding quotes the testimony of Cathy Sun. BBY agrees that the purpose of detention and demurrage charges is to incentivize freight fluidity. Accordingly, when freight fluidity is impossible due to circumstances outside of a shipper’s control, the incentive principle is not served. *See, e.g., C78-79, 86.*

9. BAL announced its rates on the FMC website in advance, issued proper invoices, and removed closed days from detention invoices in accordance with FMC guidance. APP-1210 (Sun Dep. Tr. 71:20-72:2).

RESPONSE: Admitted that the proposed finding cites Cathy Sun, who testified that BAL took these three steps. BBY denies the blanket and unfounded characterization that such invoices were “proper”. BBY also denies that BAL upheld its alleged policy of removing closed days from invoices as the record demonstrates that in practice, BAL did impose D&D charges on days when the terminal was inaccessible. *See, e.g., C37.4.6, 80.1, 102, 104, 107, Ex. A.*

10. The invoices sent to customers were in accordance with the published rate filed with the FMC. APP-1213-1214 (Sun Dep. Tr. 85:21-86:4) (“The invoice sent out . . . by our agent was in accordance to the published rate. Q. With the FMC, correct? A. Yes.”).

RESPONSE: Admitted that the proposed finding cites Cathy Sun’s testimony that BAL’s invoices were sent out in accordance with the FMC’s published rate. BBY denies that BAL’s alleged compliance with published tariff rates constitutes de facto legal reasonableness under 46 U.S.C. Section 41102(c). The record shows that BAL’s rates were facially unreasonable. *See C58-67, 85-87.*

11. BAL retained Norton Lilly International (“Norton Lilly”) as its agent to handle certain operational functions in the United States with respect to detention, including calculating detention charges according to BAL’s rates and container activity and creating, issuing, and collecting detention invoices on BAL’s behalf. APP-1179-1180 (Sun Corp. Dep. at 10:2-8, 14:22-15:7); APP-1201-1202 (Sun Dep. at 37:20-39:9); APP-698 (Kardian Dep. Tr. 168:2-8).

RESPONSE: Admitted. Norton Lilly had no independent authority to waive or adjust charges without BAL approval. *See C21.1.*

12. Norton Lilly communicated with BAL on a daily basis regarding container activity and abnormalities. APP-1202 (Sun Dep. at 39:13-20).

RESPONSE: Admitted that the proposed finding cites Cathy Sun, who testified that BAL communicated with Norton Lilly on a daily basis regarding container activity and abnormalities. BAL does not otherwise cite to evidence in the record that such communication between BAL and Norton Lilly occurred daily.

13. BAL appointed marine terminal operators (“MTOs”) in the United States to calculate, assess, and collect demurrage fees on BAL’s behalf. *See* APP-1398 (Zhu Dep. Tr. 51:5-

17) (“[T]he demurrage charges were created according to data provided by the terminals. There exists very little false information or mistakes. And the clients would most likely contact the terminal directly and the terminal might make the adjustments directly.”); see also APP-1396, 1434 (Zhu Dep. Tr. 49:13-51, 87:21-24); APP-698 (Kardian Dep. Tr. 166:13-167:25).

RESPONSE: Admitted that BAL appointed MTOs and that this proposed finding cites to testimony by Parker Zhu and Gary Kardian referencing this fact.

14. Parker Zhu testified that demurrage charges were created according to data provided by the terminals and that there existed “very little false information or mistakes.” APP-1398 (Zhu Corp. Dep. Tr. 51:5-17).

RESPONSE: Admitted that this proposed finding quotes Parker Zhu’s deposition testimony. BAL does not otherwise cite to evidence in the record showing “very little false information or mistakes” in BAL’s demurrage charges. Regardless, BBY’s claims are grounded in the unreasonableness of the demurrage and detention charges imposed by BAL, rather than billing inaccuracies.

15. In documents provided by SSA and TraPac (MTOs in Los Angeles [sic] and Long Beach), these MTOs confirmed that they extended free time when the terminal was closed or when truckers could not return empty containers. RX 36-37 (Kardian Expert Report at 28-29).

RESPONSE: Denied. This proposed finding simply cites to the opinion of BAL’s expert without citation to any evidence in BAL’s appendix for the underlying documents and data referenced.

16. The terminals maintained records of closed dates and issued “trouble tickets” to document events when containers were inaccessible or unavailable for pickup, at which point free time was extended and no demurrage was charged. See RX 50-51 (Kardian Expert Report at 42-43).

RESPONSE: Denied. This proposed finding simply cites to the opinion of BAL’s expert without any citation to any evidence in BAL’s appendix for the underlying documents referenced.

17. Parker Zhu acknowledged that charging demurrage for containers placed in inaccessible areas of a terminal is unreasonable and testified that terminals had already reduced such charges when a container was inaccessible during that time. APP-1334 (Zhu Corp. Dep. Tr. 23:8-25) (“When a container is placed in an inaccessible area of the terminal and if the terminal still charges fees for this time, I believe it’s unreasonable to the beneficiaries. The terminals, they understand this problem and therefore their invoices has already reduced such a charge when the container is inaccessible during this time.”)

RESPONSE: Admitted that Parker Zhu testified to this. BBY agrees that it is unreasonable to charge demurrage for inaccessible containers, though the record shows that BAL nevertheless imposed demurrage charges for containers that could not be picked up.

18. Parker Zhu, BAL's corporate designee responsible for demurrage, confirmed that the policy of BAL and the terminals was not to charge demurrage when the customer could demonstrate that the container at issue could not be retrieved because the container was inaccessible or because the terminal was closed. RX 455 (Declaration of Parker Zhu, p. 3 ¶ 25).

RESPONSE: Denied. The record shows that BAL had no direct contact with BBY, that BAL charged demurrage during periods of severe congestion-related inaccessibility, and that in practice BAL charged demurrage first and required customer proof to adjust. See C37-39, 80, 102-106.

III. BAL'S DISPUTE REVIEW PROCESS

19. Norton Lilly, acting as BAL's agent, maintained a list of terminal closed dates based on terminal statistics. APP-1180 (Sun Corp. Dep. Tr. 15:25-16:15).

RESPONSE: Admitted that Cathy Sun testified on behalf of BAL that Norton Lilly maintained this list, though BAL's proposed finding does not cite to any actual examples of this list in the record.

20. With respect to detention, BAL provided Norton Lilly with that list of terminal closed dates, and Norton Lilly automatically removed those closed dates from detention invoices. APP-1180 (Sun Corp. Dep. Tr. 15:25-16:15); APP-1214 (Sun Dep. Tr. 86:12-15).

RESPONSE: Denied. While Norton Lilly may have had a general practice of removing closed dates from detention invoices, the record demonstrates that BAL nevertheless imposed detention charges on dates when the terminal was closed. See C107, Ex. A. Moreover, terminal closure dates only represent a portion of congestion-related impediments that impacted BBY, including appointment unavailability, delays, chassis shortages, dual transaction requirements, and container inaccessibility, which would not have been addressed through this process. See C33.7, 33.8, 34.

21. When clients claimed they were unable to obtain terminal appointments to return containers, BAL required the client to provide evidence, and after review, BAL would adjust the detention charge where the evidence was reasonable. APP-1180 (Sun Corp. Dep. Tr. 16:16-25).

RESPONSE: Admitted that BAL had this process in place, which charged customers first and subsequently put the burden on them to provide proof for a potential adjustment. In practice, BAL had no direct communication with BBY. Communication occurred via third parties and Norton Lilly had no independent authority to make adjustments. See C20.1, 20.2, 21.1, 102-106.

22. BAL was aware of port congestion conditions at Los Angeles and Long Beach during 2021 and 2022. APP-1180-1181 (Sun Corp. Dep. 17:14-18:7).

RESPONSE: Admitted.

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23. BAL and those acting on BAL's behalf removed D&D charges for terminal closed dates and adjusted charges when presented with evidence of appointment unavailability. See APP-1180 (Sun Corp. Dep. Tr. 15:25-16:15); see also APP-1396-1398 (Zhu Dep. Tr. 49:24-51:17).

RESPONSE: Denied. While BAL may have removed some D&D charges, the record shows systemic D&D charges despite widespread congestion. As BAL acknowledges, it had a practice of charging customers first and putting the onus on customers to affirmatively provide evidence in support of disputes. BAL's claim that over \$4.2 million in detention charges issued by Norton Lilly on BAL's behalf were ultimately not collected accordingly suggests that the charges imposed were excessive. See C76.

24. Gary Kardian testified that the Interpretive Rule is directed at the ocean carrier to invoice D&D correctly. APP-695 (Kardian Dep. Tr. 154:12-155:4).

RESPONSE: Admitted.

25. Gary Kardian further testified that if circumstances prevent the container from being picked up from the terminal or the empty container returned to the terminal, then the ocean carrier should take measures to correct the invoice. APP-695 (Kardian Dep. Tr. 154:23-155:3).

RESPONSE: Admitted.

26. Gary Kardian also testified that disputes and free time extensions require verifiable supporting information and that generalized assertions are insufficient. APP-691 (Kardian Dep. at 139:11-140:10).

RESPONSE: Admitted that Gary Kardian testified to this. The record shows that there are significant issues with Kardian's credibility. See C146-156.

27. A viable excuse for waiver would include a circumstance where a trucker attempted to return a container but could not because the terminal was closed or unable to receive it, and that in such circumstances the trucker should not be penalized for events outside its control. APP-667 (Kardian Dep. at 44:10-46:17).

RESPONSE: Admitted. These circumstances occurred frequently during 2021-2022. See C33.5, 33.8, 34.

28. Gary Kardian opined that when truckers provide sufficient and valid evidence, carriers review that information and make business decisions regarding whether to adjust or waive charges. RX 63 (Kardian Expert Report at 55) ("This is proof that the FMC's Interpretive Rule works in that if truckers provide sufficient and valid evidence, a carrier will review the information and make sound and reasonable business decisions, like BAL did in this case.").

RESPONSE: Admitted that Gary Kardian testified to this.

29. With respect to demurrage disputes, Parker Zhu testified that customers seeking to dispute charges must provide the bill of lading, container number, and supporting documents

reflecting the basis for the dispute, after which BAL would proceed once the information was verified. APP-1397-1398 (Zhu Dep. Tr. 50:17-51:4).

RESPONSE: Admitted that Parker Zhu testified to this.

30. Parker Zhu confirmed that incorrect demurrage invoices were extremely rare during 2021-2022 because the demurrage charges were created according to terminal data and involved very little false information or mistakes. APP-1398 (Zhu Dep. Tr. 51:5-14) (“The year 2021 to 2022 from my recollection I had received in my mail about two to three, but this rarely happens because the demurrage charges were created according to data provided by the terminals. There exists very little false information or mistakes.”)

RESPONSE: Admitted that Parker Zhu testified to this. This proposed finding is repetitive of RPPF 14. As detailed above, BBBY’s claims are grounded in the unreasonableness of the demurrage and detention charges imposed by BAL, rather than billing inaccuracies.

31. Disputes were reviewed on a case-by-case basis and resolved where supported by verifiable evidence. APP-1202-1203 (Sun Dep. Tr. 40:25-42:14); APP-1397-1398 (Zhu Dep. Tr. 50:17-51:4); RX 50-51 (Kardian Expert Report at 42-43).

RESPONSE: Admitted that BAL staff testified to reviewing disputes on a case-by-case basis. Denied that BAL had a blanket policy of resolving every dispute supported by verifiable evidence, as BAL’s corporate designees testified that the authority of the individual in BAL management with final authority to resolve disputes, Cinda Li, was subjective and could not be clearly defined. See APP-1056-57 (Liu Corp Dep. Tr. 43:14-25); APP-1181 (Sun Corp. Dep. Tr. 18:14-19:10).

32. Cathy Sun testified, “We don’t have much FMC complaints because we have been reasonable.” APP-1212 (Sun Dep. 78:8-15).

RESPONSE: Admitted that Cathy Sun testified to this, but denied as a proposed finding as this statement is otherwise uncorroborated. If BAL indeed did not receive many FMC complaints relatively speaking, this alleged low volume could reflect the costs of the FMC complaint process and BAL’s smaller customer base as a relatively small and newer VOCC, rather than reflecting the reasonableness of BAL’s charges. BAL was one of several brand-new VOCCs based in China that were formed during the pandemic. APP-38 (McCown Expert Report at ¶ 29). BAL was the 44th largest container shipping line in the world at the time. APP-34 (McCown Expert Report at ¶ 2); C12.

IV. LACK OF DIRECT RELATIONSHIP BETWEEN BAL AND BBBY

33. BAL did not enter into any service contract with BBBY and had no direct relationship with BBBY. APP-1213 (Sun Dep. Tr. 85:17-20) (“Was there ever a direct contractual relationship between BAL and BBB? A. No.”); RX 18 (Kardian Expert Report at 10).

RESPONSE: Admitted.

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34. BAL did not issue any master bills of lading to BBY and did not collect any freight monies directly from BBY. RX 18 (Kardian Expert Report at 10).

RESPONSE: Admitted.

35. All 618 container loads that BBY shipped on BAL vessels were booked through non-vessel-operating common carriers (“NVOCCs”). RX 31 (Kardian Expert Report at 23).

RESPONSE: Admitted.

36. BAL dealt with NVOCCs, and NVOCCs dealt with BBY. Although BAL knew the NVOCC customers, BAL had no way of knowing the ultimate customers or co-loaders on any given shipment. APP-695, 701 (Kardian Dep. Tr. 156:20-157:2, 181:18-183:20).

RESPONSE: Denied. The record demonstrates that BAL did have the ability to determine which shipments belonged to which customers with intermediary assistance. See, e.g., C39.3.

37. No one at BBY ever reached out to speak with anyone at BAL. RX 33 (Kardian Expert Report at 25); APP-899 (Klosowsky Dep. Tr. 55:3-6); APP-600 (Hackett Dep. Tr. 8:8-13); APP-1114 (Porter Dep. Tr. 7:9-12).

RESPONSE: Admitted that during 2021-2022 BBY did not directly communicate with BAL. Otherwise denied that BBY has never reached out to BAL.

38. Prior to BBY’s lawyers reaching out to BAL to threaten this lawsuit, BBY never contacted BAL directly to dispute any D&D charges. See RX 33 (Kardian Expert Report at 25); see also APP-899 (Klosowsky Dep. Tr. 55:3-6); APP-600 (Hackett Dep. Tr. 8:8-13); APP-1114 (Porter Dep. Tr. 7:9-12).

RESPONSE: Admitted.

39. BBY never reached out to BAL at any time to complain about, dispute, or request reconsideration of any specific detention or demurrage invoice. RX 33 (Kardian Expert Report at 25); APP-899 (Klosowsky Dep. Tr. 55:3-6); APP-600 (Hackett Dep. Tr. 8:8-13); APP-1114 (Porter Dep. Tr. 7:9-12).

RESPONSE: Denied. As BAL acknowledges, BBY reached out to BAL prior to the filing of this lawsuit.

40. Prior to this proceeding, BBY’s attorneys sent a demand letter to BAL’s counsel demanding reparations demurrage and detention charges. RX 30 (Kardian Expert Report at 22).

RESPONSE: Denied. This proposed finding cites only to BAL’s expert’s opinion and improperly delves into confidential settlement discussions between the parties. BBY respectfully requests that all references to confidential settlement discussions between the parties be struck from the record.

41. BAL's counsel corresponded with BBY's counsel on multiple occasions, requesting that BBY provide evidence to support its claims, including evidence that detention fees were charged for days when a container could not be returned or demurrage fees were charged for days when a container was unavailable for pickup. RX 30 (Kardian Expert Report at 22).

RESPONSE: Denied. This proposed finding cites only to BAL's expert's opinion and improperly delves into confidential settlement discussions between the parties. BBY respectfully requests that all references to confidential settlement discussions between the parties be struck from the record.

42. BBY provided no information to substantiate any wrongdoing on the part of BAL in response to those requests. RX 30 (Kardian Expert Report at 22).

RESPONSE: Denied. This proposed finding cites only to BAL's expert's opinion and improperly delves into confidential settlement discussions between the parties. BBY respectfully requests that all references to confidential settlement discussions between the parties be struck from the record.

V. BBY'S OPERATIONS, VOLUME INCREASES, AND WAREHOUSE CONSTRAINTS

43. In 2019, BBY made a business decision to double its imports from Asia in order to stock more private label merchandise. RX 21, 23 (Kardian Expert Report at 13, 15).

RESPONSE: Admitted. BBY planned for this in advance, obtaining warehouse space in City of Industry to accommodate increased volume, which was subsequently impacted by COVID disruptions. See C25, 31; RPF 59.

44. At a time when BBY's warehouses were already full, BBY was ordering two to three times as many containers into Southern California as before the pandemic. BBY witness Melinda Porter confirmed the result: "Containers in the yard, yes, we were full." RX 177 (Respondent OOCL's Answering Brief to Complainant's Brief at 40, 20230930-DK-Butterfly-I, Inc. v. Orient Overseas Container Line Limited, FMC Dkt. No. 23-02 (Feb. 27, 2025)).

RESPONSE: Denied. This proposed finding mischaracterizes the record. Rather than BBY continuing to order while warehouses were full, warehouse capacity reached its limit because of COVID supply chain bunching, as orders delayed during factory shutdowns shipped simultaneously (an industry-wide impact that affected shippers during this time). See C27, 30, 31; RPF 59 (quoting Porter Dep. Tr. 33:12-34:5) ("Did you feel like the volume coming in was just way more than you had capacity to handle in 2021 and 2022? A. . . . [T]o be honest with you, I think it – for me and my team at St. George, it was very frustrating. Because in 2020, we on-boarded the City of Industry building in anticipation of that volume increasing. We sat down and planned, like, a great plan on handling the increase of volume. And then, unfortunately, COVID happened and the containers just didn't flow the way we had anticipated. With the shutdowns, it bottlenecked everything, and it just caused a domino effect that went through 2020 into 2021. So for me and my team, it was just not optimal. Nothing flowed as we – as planned.").

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45. According to testimony from one of BBBY's warehouse managers, import volume in the Southern California region increased from 5,000 containers in 2019 to 10,000 in 2020, 15,000 in 2021, and 17,000 in 2022. RX 177 (Respondent OOCL's Answering Brief to Complainant's Brief at 40, 20230930-DK-Butterfly-1, Inc. v. Orient Overseas Container Line Limited, FMC Dkt. No. 23-02 (Feb. 27, 2025) (citing Stupnik Tr. 43:7-45:7).

RESPONSE: Denied, as this proposed finding fails to include an exact citation to evidence in the record.

46. In August and September 2021, BBBY booked for transport and shipped approximately 590 containers from Asia to the United States, even though it had no available warehouse space upon arrival. RX 178 (Respondent OOCL's Answering Brief to Complainant's Brief at 41, 20230930-DK-Butterfly-1, Inc. v. Orient Overseas Container Line Limited, FMC Dkt. No. 23-02 (Feb. 27, 2025) (citing Delprete. Tr. 179:20-180:10, "BBBY was one of the shippers who 'were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it.'")).

RESPONSE: Denied, as this proposed finding fails to include an exact citation to evidence in the record.

47. In September 2021, BBBY also booked an additional 200 FEUs (the equivalent of 400 TEUs) at the same time its warehouses in the U.S. West Coast were full. RX 178 (Respondent OOCL's Answering Brief to Complainant's Brief at 41, 20230930-DK-Butterfly-1, Inc. v. Orient Overseas Container Line Limited, FMC Dkt. No. 23-02 (Feb. 27, 2025) (citing Hackett Tr. 160:8-161:24; RX-000979-996 (Ex. 201))).

RESPONSE: Denied, as this proposed finding fails to include an exact citation to evidence in the record.

48. Melinda Porter, BBBY's manager responsible for warehouse operations at the City of Industry, Walnut, and Santa Fe Springs facilities, testified directly about the internal bottlenecks that prevented BBBY from moving containers in its normal course. APP-1121 (Porter Dep. Tr. 35:16-22, 36:17-37:1) ("[B]ecause of the way the containers were coming in, we couldn't always get the containers . . . And then, because our yard wasn't ideal in the situation – it was full, whether it was loaded containers, empty containers. [W]e had spacing constraints in our yards. Also with our drayage carriers, also they had issues." "[O]ur normal process couldn't work because of things that were outside of our control. So it bottlenecked our operations . . . in the sense of we couldn't always unload as quick as we possibly can because not only were we trying to bring in containers, but we also had to ship out. We had to bring in empties from our domestic carriers so we can ship out . . . So it was just kind of – we had space in our . . . yard that just wasn't flowing just because of the situation. [W]e were at capacity everywhere.").

RESPONSE: Admitted.

49. Melinda Porter testified that BBBY's warehouses in City of Industry, Walnut, and Santa Fe Springs were full approximately 50 percent of the time during the fall of 2021 through the end of 2022. APP-1123 (Porter Dep. Tr. 44:6-45:14).

RESPONSE: Admitted.

50. Melinda Porter testified that BBY's container yards was [sic] full with both loaded and empty containers, and that BBY had severe space constraints in its yards. APP-1121 (Porter Dep. Tr. 35:16-22).

RESPONSE: Admitted. The record shows that empty containers sat in the yards because terminals would not accept them. See C33.8, 34.

51. Melinda Porter testified that BBY's drayage carriers "had issues," that BBY's yard "just wasn't flowing just because of the situation," and that BBY was "at capacity everywhere." APP-1121 (Porter Dep. Tr. 35:16-22, 36:17-37:1).

RESPONSE: Admitted.

52. Melinda Porter further testified that BBY's normal operations could not function because of circumstances that bottlenecked BBY's operations, such that BBY could not always unload containers as quickly as necessary because it was simultaneously trying to bring in containers and ship out empties from its domestic carriers. APP-1121 (Porter Dep. Tr. 36:17-37:1).

RESPONSE: Admitted. The record shows that such issues affected shippers across the industry. See, e.g., C30.1.

53. Melinda Porter testified that BBY was operating in "survival mode," attempting to unload containers as quickly as possible and ship product out as fast as possible to make warehouse and yard space available. APP-1119 (Porter Dep. Tr. 27:11-24) ("During that time, it was not a normal operational year for us just because of the way – containers didn't flow like they normally did just because of the COVID shutdowns, just the way the vessels arrived, just the way the ports were operating. It just was not a good time period for us. So our norm didn't come into play. So because of that, it was just kind of – we were in survival mode. So containers would arrive and depending on spacing, capacity, weather, staffing, you know, for various reasons we would unload containers as best we can and ship product out as fast as we could. It was just – basically, we were in survival mode to try to get freight in and out as fast as we could to make space.").

RESPONSE: Admitted.

54. At one point, BBY had approximately \$463 million in goods sitting at its import warehouses waiting to be unloaded, which Kardian calculated equated to roughly 4,630 idle containers using a value of approximately \$100,000 per container. APP-898 (Klosowsky Dep. Tr. 50:4-13); RX 53-54 (Kardian Expert Report at 45-46).

RESPONSE: Admitted that BBY had approximately \$463 million in goods sitting at its import warehouses waiting to be unloaded. Admitted that Gary Kardian testified to the container calculation.

55. Despite that backlog, BBY continued to place orders for more merchandise from Asia. RX 26 (Kardian Expert Report at 18).

RESPONSE: Denied. This proposed finding mischaracterizes the record. During unprecedented COVID congestion and delays, BBY still had long lead times and contractual obligations with overseas suppliers, and stopping orders mid-stream was not operationally feasible. *See* APP-915 (Klosowsky Dep. Tr. 121:16-122:6).

56. Prior to the pandemic, BBY's staff was largely unaccustomed to dealing with detention and demurrage charges. BBY's former Vice President of Logistics testified: "I will tell you up until this time, the COVID time, we never paid detention or demurrage because we never put ourselves in those kind of situations. So a lot of this was all very new and situationally driven." APP-613 (Hackett Dep. Tr. 58:2-7).

RESPONSE: Admitted. As Hackett testified, the detention and demurrage charges imposed by BAL were unprecedented for BBY and attributed to historic COVID congestion and delays, rather than BBY's traditional business practices. *See* APP-613 (Hackett Dep. Tr. 58:2-7).

57. [REDACTED]
RX 22 (Kardian Expert Report at 14); see also RX 242-248 [REDACTED]

RESPONSE: Admitted. BBY filed a Chapter 11 bankruptcy petition the following year.

58. [REDACTED]
[REDACTED] see also RX 22, 82-85 (Kardian Expert Report at 14, Exhibit 3).

RESPONSE: Admitted.

59. Melinda Porter also acknowledged that the volume coming in was more than BBY had capacity to handle during 2021 and 2022. APP-1120-1121 (Porter Dep. Tr. 33:12-34:5) (Q. Did you feel like the volume coming in was just way more than you had capacity to handle in 2021 and 2022? A. . . . [T]o be honest with you, I think it – for me and my team at St. George, it was very frustrating. Because in 2020, we on-boarded the City of Industry building in anticipation of that volume increasing. We sat down and planned, like, a great plan on handling the increase of volume. And then, unfortunately, COVID happened and the containers just didn't flow the way we had anticipated. With the shutdowns, it bottlenecked everything, and it just caused a domino effect that went through 2020 into 2021. So for me and my team, it was just not optimal. Nothing flowed as we – as planned.)

RESPONSE: Admitted.

60. Melinda Porter testified that during 2021 and 2022, due to the severity of conditions at the ports, BBY moved containers to locations other than its primary St. George facility, and that St. George was not always the first stop. APP-1118 (Porter Dep. Tr. 25:14-22).

RESPONSE: Admitted.

61. Melinda Porter testified that some containers went by rail directly to Savannah for transport to the East Coast. APP-1119 (Porter Dep. Tr. 26:1-13).

RESPONSE: Admitted.

VI. BBY'S CHASSIS, SUPPLY-CHAIN, AND DISPUTE-HANDLING PRACTICES

62. Gary Kardian noted that ocean carriers had long ago gotten out of the chassis business and importers rely on either local chassis pools or truckers' chassis to haul containers. RX 17 (Kardian Expert Report at 9 n.22)

RESPONSE: Admitted that Gary Kardian testified to this.

63. Gary Kardian further noted that some beneficial cargo owners purchase chassis for exclusive use by their nominated truckers, but BBY did not make that investment. RX 17 (Kardian Expert Report at 9 n.22).

RESPONSE: Admitted that Gary Kardian testified to this. The record shows that even BCOs that purchased chassis for their own exclusive use faced severe disruptions. See, e.g., C33.7.1.

64. Melinda Porter acknowledged that responsibility for obtaining chassis during the relevant period fell to BBY's dray carriers, who maintained their own chassis fleets, and that BBY also relied on the chassis pool at the ports. APP-1123 (Porter Dep. Tr. 42:14-43:3).

RESPONSE: Admitted. The record shows that in 2021-2022 chassis pools were depleted due to extraordinary demand and unprecedented congestion. See C33.7.

65. Melinda Porter further confirmed that during 2021 and 2022, chassis shortages required BBY to engage additional dray carriers, including Forrest Logistics as a broker, specifically to obtain containers with available chassis. APP-1122 (Porter Dep. Tr. 40:23-41:12).

RESPONSE: Admitted.

66. Gary Kardian further observed that BBY's supply chain was "primitive" and that BBY had "failed for years to upgrade" its logistics infrastructure even as it doubled import volumes. RX 22, 27, 42 (Kardian Expert Report at 14, 19, 34); APP-691-692 (Kardian Dep. Tr. 141:8-145:14).

RESPONSE: Admitted that Gary Kardian testified to this. The record shows that there are significant issues with Kardian's credibility. See C146-156. Kardian admitted that he has never worked for a BCO or in a warehouse (C146, 149), and his characterization of BBY's supply chain is a speculative opinion unsupported by direct expertise in retail logistics. BBY proactively invested in additional warehouse capacity in City of Industry in anticipation of volume increases. See RPFF 59.

67. Gary Kardian noted that when Mark Tritton joined BBY as CEO in October 2019, Tritton recognized that BBY's supply chain needed a fundamental overhaul. APP-691-692 (Kardian Dep. Tr. 141:22-142:7).

RESPONSE: Admitted that Gary Kardian testified to this.

68. BBY's Vice President of Global Transportation, Reid Klosowsky, testified that BBY's warehouses were "designed to handle a hundred containers, not a thousand." RX 21 (Kardian Expert Report at 13) (citing Reid Klosowsky Dep. Tr. 68:20-21 in Docket 24-12).

RESPONSE: Admitted that Reid Klosowsky testified to this. Accordingly, BBY proactively invested in additional warehouse capacity. See APP-687 (Kardian Dep. Tr. 124:2-113); APP-1119 (Porter Dep. Tr. 29:17-30:18).

69. During the relevant period, BBY in fact had more than a thousand containers in Southern California waiting to be unloaded. When BBY's warehouses filled completely and goods moved slowly out to stores, a backlog developed in BBY's warehouse yards. BBY could not unload containers to return them to the terminals, and the containers remained mounted on chassis, draining the chassis pools in their respective areas. RX 21(Kardian Expert Report at 13).

RESPONSE: Denied. This proposed finding cites only to the opinion of BAL's expert with no citation to evidence in the record. The record shows that this situation was caused by port congestion, appointment unavailability, and chassis shortages that preceded and worsened the warehouse backlog. See C27, 28, 31.

70. BBY did not designate employees to review or dispute the growing D&D charges, even as those charges mounted into the millions of dollars. RX 24, 61 (Kardian Expert Report at 16, 53).

RESPONSE: Denied. BBY hired Yusen and Berman Blake for the purpose of managing this information. See e.g., C23, 37.3.5, 37.4.1; see also Klosowsky Dep. Tr. 124:3-13 ("Q. There was a firm that you mentioned in the Yang Ming deposition that maybe handled invoices for detention and demurrage called Berman Blake Associates on Long Island. Who are they. A. They – Berman Blake Associates was a freight invoice audit company. So the invoices from transportation carriers would be sent there. They would do their best to compare it to our contracts, and then they would provide a statement that would be used by finance to pay those service providers.") [APP-916]. In turn, the team managed by Pat Hackett and other facility staff reviewed the information. See Klosowsky Dep. Tr. 56:2-10 ("Q.... [L]et's start with demurrage. How would BBY pay demurrage fees? A. Again, I wasn't directly involved in the payment process. My remembrance of it was that carrier would submit a demurrage fee on their invoice, and then someone either in Pat's team or at St. George or the facilities would review those fees and the dates associated with the start and the end of the demurrage to say if they were accurate or dispute them if they were inaccurate."); 100:11-14 ("[A]t that time there were conversations that we were having, Pat and his team specifically, to say, hey, these charges are unfair.") [APP-885].

71. BBY did not engage EDRAY, a technology company, to improve container visibility until January 2022, after all BAL containers had already arrived, and that engagement addressed tracking rather than the fundamental warehousing and import-capacity constraints that caused containers to sit idle and D&D charges to accrue. RX 42-43 (Kardian Expert Report at 34-35).

RESPONSE: Denied, as this proposed finding only cites to the opinion of BAL's expert and fails to include an exact citation to evidence in the record. Compare C109.3, 109.4. The record shows that BBY containers carried by BAL continued to arrive through January 2022. See C107, Exhibit A to BBY's Proposed Findings of Fact.

72. BBY initially had minimal visibility into a container's status once it was discharged from the vessel, and although BBY later utilized EDRA to improve container visibility, BBY never engaged in discussions with any marine terminal operators in Los Angeles, Long Beach, or elsewhere to arrange dedicated gate access, such as a "hoot gate" or other means to address congestion at those facilities. RX 42-43 (Kardian Expert Report at 34-35).

RESPONSE: Denied, as this proposed finding only cites to the opinion of BAL's expert and fails to include an exact citation to evidence in the record.

VII. DETENTION AMOUNTS INITIALLY INVOICED AND ULTIMATELY COLLECTED

73. BBY's own Opening Brief contends that BBY paid \$3,673,583 in detention charges. RX 585 (BBY Opening Br. at 23).

RESPONSE: Admitted.

74. Norton Lilly's records show that detention invoices issued on BAL's behalf in connection with BBY's cargo initially totaled [REDACTED]. RX 660-666 [REDACTED] RX 63 (Kardian Expert Report at 55).

RESPONSE: Denied. The cited document at RX 660 includes no context as to what the spreadsheet purports to include, thus it is unclear whether the proposed finding is an accurate summation of what the document shows.

75. Thus, more than half of the detention initially invoiced on BAL's behalf was not ultimately collected. RX 63 (Kardian Expert Report at 55).

RESPONSE: Denied. The proposed finding cites an inference and opinion by BAL's expert rather than evidence in the record.

76. Put differently, more than \$4.2 million in detention charges issued by Norton Lilly on BAL's behalf were canceled, mitigated, or waived. RX 63 (Kardian Expert Report at 55).

RESPONSE: Denied, as this proposed finding only cites the opinion of BAL's expert and does not cite to any specific evidence in the record. This statement in BAL's expert's report also has no citation, and in his deposition he admitted that it was based on speculation. APP-696 (Kardian Dep. Tr. 159:17-160:19).

77. BBY's own truckers, who were familiar with the Uniform Intermodal Interchange Agreement ("UIIA") process for disputing detention charges, did not contest specific detention charges at the time they were assessed. RX 63 (Kardian Expert Report at 55).

RESPONSE: Denied, as this proposed finding only cites the opinion of BAL's expert and does not cite to any specific evidence in the record.

VIII. BBY'S SPREADSHEET AND SUPPORTING PRESENTATION

78. BBY has not identified, for any specific container, what actually caused the delay that gave rise to the charge. RX 30, 66 (Kardian Expert Report at 22, 58).

RESPONSE: Denied.

[REDACTED]

- [REDACTED]

- [REDACTED]

- [REDACTED]

- [REDACTED]

- [REDACTED]

- [REDACTED]

- [REDACTED]

[REDACTED]

79. [REDACTED] In support of its claim, BBY submitted general allegations of port congestion, the amount of detention and demurrage billed, and a spreadsheet that, [REDACTED]

[REDACTED]

RESPONSE: Denied. As detailed above in response to Respondent's Proposed Finding of Fact No. 78, [REDACTED]

[REDACTED]

80.

[REDACTED]

RESPONSE: Denied. As detailed above in response to Respondent's Proposed Finding of Fact No. 78, [REDACTED]

[REDACTED]

81.

[REDACTED]

RESPONSE: Denied.

[REDACTED]

82.

[REDACTED]

RESPONSE: Denied.

[REDACTED]

83.

[REDACTED]

RESPONSE:

[REDACTED]

84.

[REDACTED]

RESPONSE: Denied.

[REDACTED]

[REDACTED]

85. [REDACTED]

RESPONSE: Denied. [REDACTED]

86. [REDACTED]

RESPONSE: Denied. [REDACTED]

87. [REDACTED]

RESPONSE: [REDACTED]

IX. BAL'S TARIFFS AND WEBSITE DISPUTE PROCEDURES

88. BAL's published tariff set forth its D&D rules, free time, and applicable rates and was filed with the Federal Maritime Commission and publicly available in accordance with applicable law. RX 1-8 (BAL Tariff); see also 46 U.S.C. § 40501.

RESPONSE: Admitted.

89. BAL's tariff rules included published demurrage and detention rates and rules, a Chassis Rule, BAL's Dispute Resolution Policy, and a rule pertaining to the equipment interchange

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agreement between the motor carrier and BAL Container Line using the Uniform Intermodal Interchange and Facilities Access Agreement (“UIIA”). The UIIA specified at Section 6 that free time would be as provided in BAL’s tariff rules, and at Section 8 it set forth the Method of Dispute Resolution. RX 36 (Kardian Expert Report at 28).

RESPONSE: Denied, as this proposed finding cites to the opinion of BAL’s expert without a citation to record evidence.

90. BAL’s dispute resolution policy was clear and publicly available, published as part of BAL’s governing tariff filed with the Federal Maritime Commission. RX 19, 36 (Kardian Expert Report at 11, 28); RX 249 (BAL000002).

RESPONSE: Denied to the extent this proposed finding cites to the opinion of BAL’s expert. Further denied as RX 249 provides no indication that it was a publicly available document during the relevant period.

91. BAL’s tariff history reflects that BAL’s D&D terms were publicly posted through BAL’s FMC tariff filings during the relevant period, including Rule 21-010 as published and effective on May 14, 2021, later amended effective September 18, 2021, and later reflected in January 2022 history versions effective January 28, 2022. RX 1-8 (BAL Tariff No. 001, Rule 21-010, Publish/Eff. May 14, 2021; BAL Tariff No. 001, Rule 21-010, Publish Aug. 18, 2021, Eff. Sept. 18, 2021; BAL Tariff No. 001, Rule 21-010 history versions eff. Jan. 28, 2022).

RESPONSE: Admitted.

92. BAL’s website also set out the process for disputing and resolving D&D charges. RX 249 (BAL000002).

RESPONSE: Denied, as RX 249 provides no evidence that this document was available on BAL’s website or publicly available during the relevant period.

93. As BAL’s corporate witness, Qingzhi Liu confirmed that BAL’s website policies included the procedures clients would follow when faced with D&D issues, and that those procedures were incorporated into BAL’s FMC filings. APP-971 (Liu Dep. Tr. 73:7-22).

RESPONSE: Admitted that Qingzhi Liu testified to this as BAL’s corporate witness.

94. Under the heading “Dispute settlement,” BAL’s website stated that if the consignee disputes the amount of demurrage or detention charged by the carrier or its designated agent (including the terminal and shipping agent), the dispute must be submitted in writing to the carrier’s PIC for D&D within 30 calendar days after issuance of the invoice of demurrage or detention. RX 249 (BAL000002).

RESPONSE: Denied, as RX 249 provides no evidence that this document was available on BAL’s website or publicly available during the relevant period.

95. The website further required the submission to attach relevant documents, including the relevant demurrage or detention invoice, container number, shipment number

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(booking number or Bill of Lading number), and reasons for dispute, including incorrect free time, incorrect rate, incorrect dates, or other operational issues, each with supporting documentation. RX 249 (BAL000002).

RESPONSE: Denied, as RX 249 provides no evidence that this document was available on BAL's website or publicly available during the relevant period.

96. BAL's website identified BAL's person in charge for D&D as "Mr. Parker Zhu, (usadd@bal.cn)." RX 249 (BAL000002).

RESPONSE: Denied, as RX 249 provides no evidence that this document was available on BAL's website or publicly available during the relevant period.

97. BAL's website stated that BAL's D&D contact would respond with clear comments or solutions within five working days after receiving the dispute submission. RX 249 (BAL000002).

RESPONSE: Denied, as RX 249 provides no evidence that this document was available on BAL's website or publicly available during the relevant period.

98. Customers seeking to dispute charges could contact the appropriate NVOCC, Norton Lilly, or BAL directly via email. RX 50-51 (Kardian Expert Report at 42-43).

RESPONSE: Denied, as this proposed finding cites to the opinion of BAL's expert without a citation to record evidence.

99. Gary Kardian, former Director of the FMC's Office of Service Contracts and Tariffs, confirmed that the FMC requires carriers to make their D&D rates public so that shippers are on notice of the rates they may be charged, and that any shipper, including BBY, could have looked up BAL's published tariff to determine the per diem rate and the applicable free time. See APP-672-673 (Kardian Dep. Tr. 65:2-66:20).

RESPONSE: Denied, as this proposed finding cites only to the opinion of BAL's expert and does not cite to any specific evidence in the record. The record shows that Kardian's experience did not extend to the reasonableness of rates. See C150; Kardian Dep. Tr. 77:8-12 ("Q. Did you, as a part of your role as director, assess the reasonability of any of the rates that you reviewed within tariffs from ocean carriers? A. No, we did not.") [APP-656].

100. BBY was bound by BAL's tariff rates for the shipments at issue. See APP-1213-1214 (Sun Dep. Tr. 85:21-86:4) (confirming invoices were "in accordance to the published rate" filed with FMC).

RESPONSE: Denied. The proposed finding addresses issues of legal obligation and thus constitutes an inappropriate proposed conclusion of law rather than a proposed finding of fact.

X. BAL'S RATES, DEMURRAGE COLLECTIONS, AND COMPARISON TO BBY'S CLAIMS

101. Gary Kardian prepared a comparative analysis of demurrage and detention rates charged by major ocean carriers during the relevant period. RX 34 (Kardian Expert Report at 26, Exhibit 4).

RESPONSE: Admitted that Gary Kardian prepared this analysis. RX34. John McCown's expert report challenged Kardian's comparative rate analysis by demonstrating that BAL's D&D-to-revenue ratio was 41 times the industry norm, and per-TEU its D&D rates were 199 times the industry norm. See C65, 84. The record shows that there are significant issues with Kardian's credibility. See C146-156.

102. BAL charged \$125 per container per day for both demurrage and detention once free time expired. RX 1-8 (BAL Tariff); RX 34 (Kardian Expert Report at 26).

RESPONSE: Admitted. This constituted a rate of approximately 78 to 100 times BAL's direct equipment costs of \$1.25 to \$1.60 per day. See C60, 66.

103. BAL's demurrage rate of \$125 per container per day, after free time expired, was lower than the rates charged by COSCO, Evergreen, Yang Ming, Ocean Network Express (ONE), Wan Hai, Hyundai, and Hapag-Lloyd. RX 34 (Kardian Expert Report at 26).

RESPONSE: Admitted. As the record shows, per diem rates across the industry were unreasonable. See C40, 85-87.

104. BAL's detention rate of \$125 per container per day was equal to COSCO and Wan Hai and lower than Yang Ming, Hyundai, and Hapag-Lloyd, and Gary Kardian concluded that these rates have been representative of the market level for quite some time. RX 34 (Kardian Expert Report at 26).

RESPONSE: Admitted.

105. Congress, with the enactment of OSRA 1998, removed the FMC's authority to regulate tariff rates and charges, and at no time since OSRA 1998 became law has the FMC challenged a published demurrage or detention charge in a common carrier's tariff other than a port congestion surcharge. RX 34-35 (Kardian Expert Report at 26-27) (Congress, with the enactment of OSRA 1998, took away the FMC's authority to regulate rates and charges. At no time since OSRA 98 became law, has the FMC challenged (other than a port congestion surcharge) any rate, surcharge or demurrage and detention charge published in a common carrier's tariff.”).

RESPONSE: Denied. The proposed finding addresses the scope of the FMC's legal authority and thus constitutes an inappropriate proposed conclusion of law rather than a proposed finding of fact.

106. BBY claims to have paid a total of \$9,695,192 in D&D charges, consisting of \$6,021,609 in demurrage and \$3,673,583 in detention. APP- 40 (McCown Expert Report at ¶ 35).

RESPONSE: Admitted.

107. Parker Zhu performed his own analysis of BBY's data and testified that, after subtracting storage charges and maintenance fees, BAL actually collected approximately \$4.29 million in demurrage on the BBY containers at issue, not the \$6,021,609 claimed by BBY. APP-1431-1433 (Zhu Dep. Tr. 84:8-86:25).

RESPONSE: Denied. BBY produced data showing each individual total demurrage charge per container paid to BAL, excluding any additional and separate fees not explicitly identified as demurrage, totaling \$6,021,609. *See* C52, 120, 123. This demurrage data was drawn from comprehensive payment data that BBY produced to BAL during discovery. Parker Zhu's testimony that BAL may have recategorized these payments after receipt of payment from BBY does not alter BBY's damages claim for the full amount of \$6,021,609 in demurrage fees paid to BAL, and this proposed finding makes no citation to evidence in the record detailing Zhu's alleged analysis.

108. Parker Zhu further testified that BBY's chart contained duplicate entries because multiple bill of lading numbers were matched to the same container number and that the duplicate entries had to be removed before an accurate total could be calculated. APP-1432-1433 (Zhu Dep. Tr. 85:24-86:15).

RESPONSE: Denied. This proposed finding mischaracterizes the record and makes no citation to evidence in the record identifying the alleged duplicates mentioned in Zhu's testimony. To the contrary, there are 66 containers listed in BBY's damages spreadsheets (APP-67-86) that are associated with more than one Bill of Lading (with zero containers associated with more than one Master Bill of Lading). There are 107 containers that have more than one entry in BBY's damages spreadsheets. *See* APP-67-86. These are not duplicate entries, but rather single containers that incurred multiple separate charges from BAL. *See* C54 (noting that many loads were penalized on both inbound and outbound cycles). These containers are listed below:

CHSU81212 58	BURU66980 46	CHSU81091 44	BURU66231 08	BURU66205 36	BURU66013 93
BURU66958 60	BURU66720 78	CICU232654 3	BURU66556 61	BURU66538 70	BURU69118 50
BURU66934 66	BURU66717 44	CHSU81091 86	BURU66228 58	BURU66232 90	SDMU49317 45
BURU66958 75	CHSU81214 69	CHSU81166 94	BURU66470 60	PCIU462381 6	BURU66470 33
BURU66901 32	CHSU81167 55	BURU66993 14	CHSU81190 13	BURU66226 52	BURU66474 55

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BURU66903 22	BURU66538 64	BURU66985 76	CHSU81172 79	BURU66227 97	BURU66538 85
BURU66923 46	BURU66472 70	BURU66719 08	BURU66232 84	CICU220135 6	CICU245592 0
BURU66934 24	BURU66922 90	BURU66998 02	CHSU81190 97	BURU66208 40	BURU66489 81
BURU66934 45	BURU66463 98	CHSU81182 28	BURU66457 03	BURU66567 34	BURU66555 69
CHSU81216 64	CHSU81189 95	CHSU81210 94	CICU220136 1	BURU66471 57	BURU66720 99
BURU66945 70	CHSU81210 10	BURU66991 92	BURU66076 79	BURU66554 30	BURU66512 70
CHSU81220 38	BURU67000 20	FLSU600223 0	CICU220141 7	BURU66463 20	BURU66512 86
BURU66932 97	CHSU81162 30	BURU66472 50	BURU66107 54	BURU66236 59	BURU66560 20
CHSU81203 54	CHSU81184 39	BURU66470 12	BURU66463 82	CICU220121 1	BURU66538 59
BURU66556 77	CICU226104 1	BURU66462 69	BURU66945 91	BURU66537 56	CHSU811692 4
BURU66694 80	CHSU81152 34	BURU66470 49	BURU66539 25	BURU66553 63	CHSU811847 0
CHSU81167 13	CHSU81033 78	BURU66461 66	BURU66208 29	CNCU45066 48	BURU66514 13
CHSU81153 00	BURU66715 80	BURU66468 18	BURU66538 43	BURU66502 69	BURU66013 93

XI. PRIOR OOCL PROCEEDING

109. A prior FMC proceeding involving BBY and substantially similar factual and legal theories resulted in a ruling against BBY on the D&D claim. See RX 250 (20230930-DK-BUTTERFLY-I, Inc. v. Orient Overseas Container Line Limited, FMC Dkt. No. 23-02 (Apr. 24, 2026) [hereinafter “OOCL Initial Decision” or “OOCL proceeding”]).

RESPONSE: Admitted that the Initial Decision in the OOCL proceeding denied BBY's claim regarding detention and demurrage charges for lack of sufficient evidence, such as "a shipment-by-shipment analysis of the reason containers accrued detention and demurrage charges" like what BBY has provided in this action. OOCL Initial Decision at 154-55. BBY has filed exceptions to the Initial Decision in the OOCL proceeding with respect to that denial, which currently is pending before the Commission.

110. In that proceeding, BBY asserted a claim under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 based on allegedly unreasonable detention and demurrage practices. RX 250-253, 395-397 (OOCL Initial Decision at 1-3, 146-48).

RESPONSE: Admitted.

111. The initial decision expressly found that "the evidence does not support a finding that OOCL violated section 41102(c) or 46 C.F.R. § 545.5 with regard to detention and demurrage charges as alleged in Count II." RX 251-252 (OOCL Initial Decision at 2-3).

RESPONSE: Admitted. BBY has filed exceptions to the Initial Decision in the OOCL proceeding with respect to that issue, which currently is pending before the Commission.

112. The ALJ noted OOCL's position that BBY was required to prove unreasonableness on a "shipment-by-shipment, date-by-date, charge-by-charge basis" and emphasized that the "primary difference" on the detention-and-demurrage claim was the reasonableness element. RX 396 (OOCL Initial Decision at 147).

RESPONSE: Admitted that the Initial Decision in the OOCL proceeding described OOCL's position as quoted.

113. The ALJ further found that BBY "did not provide a shipment-by-shipment analysis of the reason containers accrued detention and demurrage charges" and instead relied on "vague, generalized, and anecdotal claims of congestion or equipment shortages without demonstrating in any case what actually caused delays to the specific containers which led to demurrage or detention charges." RX 403 (OOCL Initial Decision at 154).

RESPONSE: Admitted. BBY has filed exceptions to the Initial Decision in the OOCL proceeding with respect to that issue, which currently is pending before the Commission.

114. The ALJ also found that "[g]iven that at least some of the detention and demurrage charges may have been the fault, and therefore responsibility, of BBY, it cannot be categorically found that all detention and demurrage charges should have been paid by OOCL." RX 404 (OOCL Initial Decision at 155).

RESPONSE: Admitted. BBY has filed exceptions to the Initial Decision in the OOCL proceeding with respect to that issue, which currently is pending before the Commission.

115. The ALJ concluded that BBY "has not established that OOCL's detention and demurrage charging practices were unreasonable as required for a section 41102(c) claim" and denied Count II. RX 404 (OOCL Initial Decision at 155).

RESPONSE: Admitted. BBY has filed exceptions to the Initial Decision in the OOCL proceeding with respect to that issue, which currently is pending before the Commission.

116. The ALJ also found that BBY did not point to Commission precedent supporting the proposition that rates are unreasonable merely because they are higher than another carrier's rates or because they include a profit component. RX 400 (OOCL Initial Decision at 151).

RESPONSE: Admitted. BBY has filed exceptions to the Initial Decision in the OOCL proceeding with respect to that issue, which currently is pending before the Commission.

117. The ALJ further found that BBY received a benefit by retaining use of OOCL's container and chassis beyond the allotted free time and that BBY did not present the comparative cost/benefit analysis required to determine whether the D&D charges were reasonably related to the benefit received. RX 400 (OOCL Initial Decision at 151).

RESPONSE: Admitted. BBY has filed exceptions to the Initial Decision in the OOCL proceeding with respect to that issue, which currently is pending before the Commission.

XII. EXPERT AND BENCHMARK-RELATED FACTS

118. Gary Kardian, BAL's expert on tariff compliance and FMC regulatory practice, served for twelve years as Director of the FMC's Office of Service Contracts and Tariffs. During his tenure at the FMC, Gary Kardian's work included compliance for VOCCs, NVOCCs, and marine terminal operators, including processing common-carrier tariff registrations and reviewing carrier-published tariffs for compliance with applicable regulations. RX 10 (Kardian Expert Report at 2).

RESPONSE: Admitted. The record shows that there are significant issues with Kardian's credibility. See C146-156.

119. Gary Kardian opined that BBY's proof did not connect BAL's alleged revenue or equipment cost to BBY's inability to access specific containers and that McCown's opinions therefore did not establish that any particular detention or demurrage charge imposed by BAL was unreasonable. RX 66 (Kardian Expert Report at 58) ("Because Mr. McCown makes no connection between BAL's alleged revenue or equipment cost to BBY's inability to access specific containers, McCown's statements hold no water with respect to whether any detention or demurrage charge imposed by BAL was ultimately unreasonable.") (emphasis in original).

RESPONSE: Admitted that Gary Kardian opined on this. However, John McCown's methodology addressed BAL's aggregate D&D practices and addressed opportunity costs and direct container costs. See C60-67. This analysis provides context for the specific container-by-container facts provided by BBY. See C107, Exhibit A to BBY's Proposed Findings of Fact. While Kardian critiques McCown's opportunity cost analysis, Kardian admitted that he did not know BAL's vessel capacity. See C154.

120. Carl Vogt testified that BAL's D&D practices during the relevant period were aligned with general industry practices. APP-1248 (Vogt Dep. Tr. 43:17-22).

RESPONSE: Admitted that Carl Vogt testified to this. Vogt lacks methodological reliability to provide appropriate “expert” testimony in this action. Vogt is an accountant with no shipping operations expertise (*see* C127-129), he was sanctioned by the SEC (*see* C136-138), and lacks familiarity with the Shipping Act and the FMC’s Incentive Principle (*see* C130-131).

121. Carl Vogt confirmed that the supply-chain and congestion conditions during the relevant period were widespread across the container shipping industry and testified that, based on the data he reviewed in this case and others, BAL’s operational performance was above industry averages. *See* APP-97, 101-102 (Vogt Report ¶¶ 47, 72-81, 86); *see also* APP-1249 (Vogt Dep. Tr. 46:9-14, 47:20-24).

RESPONSE: Admitted that Carl Vogt testified to this. Vogt lacks methodological reliability to provide appropriate “expert” testimony in this action. Vogt is an accountant with no shipping operations expertise (*see* C127-129), he was sanctioned by the SEC (*see* C136-138), and lacks familiarity with the Shipping Act and the FMC’s Incentive Principle (*see* C130-131). The record shows that BAL’s operational performance was worse than other VOCCs during the same period, with trips by BAL on the transpacific lane resulting in D&D charges lasting more than twice the time of the typical VOCC on average. *See* C56.

122. In his expert report, Carl Vogt stated that “[n]either Mr. McCown nor BBY have been able to cite any breach of contractual terms of the port to port services rendered by BAL.” APP-101 (Vogt Expert Report at 10 ¶¶ 82-83).

RESPONSE: Admitted. BBY has made no breach of contract claim in this case, but rather alleged statutory claims under 46 U.S.C. Section 41102(c).

123. John McCown acknowledged at deposition that BAL’s per diem rates were broadly consistent with those charged by other carriers during the same period, testifying: “I’m broadly aware that all of the carriers had similar per diems.” RX 529 (McCown Dep. 73:9-20).

RESPONSE: Denied. The proposed finding mischaracterizes the record. John McCown’s testified that the entire industry’s per diem rates were unreasonable, therefore BAL’s consistency with other carriers at the time reflects industry-wide unreasonableness, not BAL-specific reasonableness. *See* McCown Depo Tr. 74L2-10 (“Q. So I guess my question is, if that’s true, that their charges were based on typical industry standard rates, is what you’re saying that the whole industry was charging unreasonable detention and demurrage? A. Yeah, that is certainly my view in terms of the tariff rates. And I have – yes, that is my view. The per diems in the \$200, \$250 a day range, I believe, are unreasonable on their face.”) [RX-530].

124. John McCown further testified that his view was that the tariff rates of the industry generally were unreasonable on their face. RX 529-530 (McCown Dep. 73:21-74:10) (“Yeah, that is certainly my view in terms of the tariff rates. The per diems in the \$200, \$250 a day range, I believe, are unreasonable on their face.”).

RESPONSE: Admitted.

125. John McCown conceded that the FMC has never officially adopted any of his proposed metrics, including the revenue-to-D&D ratio or per-TEU calculations, as the standard for assessing whether D&D is reasonable. RX 506-510, 513-514 (McCown Dep. Tr. 50:16-54:7, 57:3-58:9).

RESPONSE: Admitted.

126. In John McCown's damages model, the first step reduces total D&D charges from \$9,695,192 to \$235,604 by comparing BAL's D&D incidence as a percentage of revenue (62.96%) to a purported industry norm of 1.53%, based on FMC data regarding the top nine carriers. RX 621 (BBBY PFOF ¶ 69).

RESPONSE: Admitted. McCown scaled down the total D&D charges imposed by BAL to what they would have been had BAL's D&D incidence matched industry norms — using FMC data showing that the top nine carriers collected D&D equal to 1.53% of revenue versus BAL's ratio of 62.96% for BBBY — which brought the charges down to \$235,604. See C69.

127. The second step then applies a further 23.9% discount on the ground that even standard industry per diem rates are themselves unreasonably high, based on a blended average of three benchmarks: Trailer Bridge rates (21.3% of industry rates), European port rates (24.2%), and Knight Transportation trailer detention rates (26.3%). RX 621 (BBBY PFOF ¶ 69).

RESPONSE: Admitted.

128. Trailer Bridge is a niche Caribbean carrier operating short-haul barge routes between the U.S. mainland and Puerto Rico, is not among the top thirty ocean carriers by capacity, and is not included in McCown's own "top nine" industry peer group. APP-96-97 (Vogt Expert Report ¶¶ 41-43).

RESPONSE: Denied. This proposed finding mischaracterizes the record. Trailer Bridge was a profitable, integrated carrier serving the Puerto Rico trade lane (the largest north-south U.S. container lane) and was ranked #1 in operating income margin among over 50 global carriers. Accordingly, McCown used as Trailer Bridge as one of multiple reference points in his expert analysis. See C68-68.3.

129. Carl Vogt opined that Trailer Bridge's low per diem rates reflect its uniquely short haul distances and barge-based operations, which are not comparable to international ocean carriers operating at the Ports of Los Angeles and Long Beach during pandemic-era congestion. APP-96-97 (Vogt Expert Report ¶¶ 41-46).

RESPONSE: Admitted that Carl Vogt opined on this. Vogt lacks methodological reliability to provide appropriate "expert" testimony in this action. Vogt is an accountant with no shipping operations expertise (see C127-129), he was sanctioned by the SEC (see C136-138), and lacks familiarity with the Shipping Act and the FMC's Incentive Principle (see C130-131). McCown used Trailer Bridge as one reference point not because its operating costs were identical to other carriers, but for the purpose of demonstrating the management of

D&D charges with the purpose of incentivizing container fluidity, which applies regardless of route. See C68-68.3.

130. Carl Vogt further opined that European port rates were not comparable and similarly inappropriate as a benchmark to BBY's claims because comparing worldwide demurrage and detention statistics to those at the busiest ports in the United States had no bearing on BBY's claim, given that the shipping markets and port operations were vastly different during the COVID period. APP-97 (Vogt Expert Report ¶ 47).

RESPONSE: Admitted that Carl Vogt opined on this. When Vogt was asked to provide his reasoning as to why "the European container market was vastly different than the U.S. container market during COVID", he responded "I have no idea". See C133. Vogt lacks methodological reliability to provide appropriate "expert" testimony in this action. Vogt is an accountant with no shipping operations expertise (see C127-129), he was sanctioned by the SEC (see C136-138), and lacks familiarity with the Shipping Act and the FMC's Incentive Principle (see C130-131).

131. Carl Vogt also opined that Knight Transportation trailer detention rates reflect domestic over-the-road trucking operations involving 53-foot trailers, not ocean carrier container operations involving 40-foot containers. APP-97 (Vogt Expert Report ¶ 48).

RESPONSE: Admitted that Carl Vogt opined on this. Vogt lacks methodological reliability to provide appropriate "expert" testimony in this action. Vogt is an accountant with no shipping operations expertise (see C127-129), he was sanctioned by the SEC (see C136-138), and lacks familiarity with the Shipping Act and the FMC's Incentive Principle (see C130-131).

XIII. ADDITIONAL CAUSATION-RELATED FACTS

132. Gary Kardian testified that, regardless of whether BBY hired additional labor, obtained more warehouse space, or otherwise took steps to mitigate the charges, BAL had no role in what BBY could or could not do operationally. See APP-695 (Kardian Dep. Tr. 154:14-20).

RESPONSE: Admitted that Gary Kardian testified to this.

133. Gary Kardian confirmed that "[i]t is customary in the industry to take 1 or 2 business days after payment is received by a common carrier to process a 'release' whereby any original bill of lading is collected and funds are in their possession." He further opined that "any delays encountered between BBY and the respective NVOCC could have [been] attributed to demurrage charges accruing." RX 32 (Kardian Expert Report at 24).

RESPONSE: Admitted that Gary Kardian testified to this. This proposed finding is speculative and does not cite to specific evidence in the record.

134. BBY used NVOCCs and did not contract directly with BAL. RX 31 (Kardian Expert Report at 23); APP-1213 (Sun Dep. Tr. 85:17-20).

RESPONSE: Admitted.

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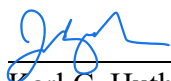
135. Gary Kardian confirmed that “[d]ual transactions at West Coast marine terminals are not new and began long before the COVID-19 pandemic.” He further explained that when marine terminals are congested, “it logically makes sense that, to accommodate incoming vessels, the trade-off between import loads and export loads should be one-for-one.” RX 49 (Kardian Expert Report at 41).

RESPONSE: Admitted that Gary Kardian testified to this. The record shows that dual transaction requirements during the pandemic were more severe and disruptive than pre-pandemic norms. See C34, 34.1, 34.2. Kardian’s opinion that this practice “logically makes sense” does not address the harm caused to shippers when it became impossible to return or pickup containers due to this requirement.

Dated: July 2, 2026

Respectfully submitted,

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Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent BAL Container Line Co., Limited by emailing a copy of the document to its counsel of record listed below:

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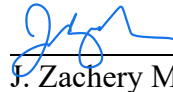
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